

SCOREBOARD VALUATION METHOD

Lastly, the scorecard valuation method can also be used to find value for a company.

This method identifies the different items that add value to a startup.

Then, a weight in percentage is assigned to each criterion.

The diagram illustrates the Scoreboard Valuation Method. It features a central table with a yellow header and a green body. Above the table is a dark grey trapezoidal shape labeled 'SCORECARD'. Two arrows point from the explanatory text above to the 'CRITERIA' and 'WEIGHT' columns of the table. A line from the 'Team' criterion points to a text box explaining its 30% weight. Another line from the 'Size of Opportunity' criterion points to a text box explaining its importance.

CRITERIA	WEIGHT
Team	30%
Size of Opportunity	25%
Product/ Tech	15%
Competitive Environment	10%
Sales/ Marketing	10%
Need for More Financing	5%
Other	5%

For example, Team as a criterion has been assigned 30% weight which means it carries roughly 30% of the entire startup value.

The next item is the "size of opportunity". If the opportunity is not large enough, it can be a problem for the startup. The investors thus consider all these factors, and an individual weight is assigned to them.